Signet Jewelers | DCF Valuation

NYSE: SIG | Financial base date: 1 Aug 2026 | Reference price: US$118.58 close on 9 Nov 2026 | USD millions unless stated

Gordon-growth value / share	**US$155.83**
Indicative upside vs reference	**+31.4%**
Exit-multiple value / share	**US$136.44**
Terminal value / EV	**62.8%**

The exit-multiple case is provisional until the adjusted EBITDA bridge is reconciled to Signet guidance. The DCF is an educational scenario, not a price target.

METHOD & VALUATION READ-THROUGH

Unlevered DCF with a 9.782% WACC (0% target debt weight in the base case), 2.0% perpetual growth and mid-year discounting. Forecast-period PV of cash flows is US$2.08bn; Gordon terminal value is US$5.87bn before discounting. The separate exit case uses 6.0x FY32E EBITDA and is a scenario, not a trading-comps-derived conclusion.

KEY DATA & MODEL DRIVERS

- FY27E revenue US$6.76bn and adjusted EBIT US$567.9m, close to the midpoint of company guidance (US$6.7-6.9bn sales; US$535-605m adjusted operating income).

- The model estimates FY27E D&A; of US$142.0m and EBIT-plus-D&A; EBITDA proxy of US$709.9m, below the company adjusted EBITDA guidance low end of US$730m. The definitions are not reconciled.

- US 10-year Treasury input: 4.86% (6 Nov); US equity risk premium 4.60% (Damodaran country table checked 10 Nov); beta 1.07 (provider estimate checked 9 Nov).

- Cash US$526.8m, no drawn financial debt in the model bridge and 39.3m weighted diluted shares use the 1 Aug 2026 financial base date.

WHAT IS NOT YET PROVEN / MODEL LIMITATIONS

- WACC, 2.0% terminal growth and 6.0x exit multiple are analyst assumptions; no completed trading-comps or precedent-transactions analysis supports the exit multiple.

- Working capital is forecast at 10% of revenue change, not a multi-year seasonally normalised operating working-capital build.

- The 1 Aug balance sheet and share count do not include later repurchases / the announced US$125m ASR; the 9 Nov market price is not a same-date equity bridge.

- Operating lease expense remains in opex while lease liabilities are not deducted from EV; confirm ABL utilisation and letters of credit in the full filings before live use.

PRIMARY SOURCES

Q2 FY27 results release (9 Sep 2026) | SEC Form 10-Q (period ended 1 Aug 2026) | FRED DGS10 (6 Nov 2026) | Damodaran country ERP table (10 Nov 2026) | NYSE quote history (9 Nov 2026)